



New Regulation By RBI For

Key Facts Statement (KFS)

For Loans and Advances

For whom are these changes intended?

- **All Commercial Banks** (including Small Finance Banks, Local Area Banks, and Regional Rural Banks, *excluding Payments Banks*)
- **All Co-operative Banks**
- **All NBFCs** (including HFC and MFI)

13. With the issue of these guidelines, the instructions/guidelines contained in the following circulars, issued by the Reserve Bank stand repealed.

No	Circular No.	Date	Subject
1.	DBR.Leg.No.BC.64/09.07.005/2014-15	January 22, 2015	Para 2 (b) of Circular on Display of information by banks
2.	DoR.FIN.REC.95/03.10.038/2021-22	March 14, 2022	Para 6.3, 6.4 & 6.5 of Master Direction – Reserve Bank of India (Regulatory Framework for Microfinance Loans) Directions, 2022
3.	DOR.CRE.REC.66/21.07.001/2022-23	September 02, 2022	Para 5.1, 5.2 of Guidelines on Digital Lending

Why were the new KFS guidelines necessary?

As dated 8th February 2024, it has mandated that all regulated entities provide retail and MSME borrowers a Key Fact Statement (KFS), containing essential information such as the all-inclusive APR and recovery and grievance redress mechanisms.

This measure will lead to **enhanced transparency in lending and enable customers to make informed decisions.**

The KFS must include all must-know loan details in a template format for the borrower as per annexures [A](#), [B](#), and [C](#), including:

- Loan proposal/account No.
- Type of Loan
- Sanctioned Loan amount (in Rupees)
- Disbursal schedule (including stages and related clauses if not disbursed 100% upfront)
- Loan term (specified in years, months, or days)
- Annual Percentage Rate, etc

The new KFS guidelines apply to all

Retail and MSME term loans

except

Credit Card Products

Note: Deadline to Comply - 1st October 2024

The new KFS guidelines and how to comply using Contract360

#1 The new KFS statement should be in a standardized format with added APR and Amortization sheet.

4. REs shall provide a KFS to all prospective borrowers to help them take an informed view before executing the loan contract, as per the standardised format given in the [Annex A](#). The KFS shall be written in a language understood by such borrowers. Contents of KFS shall be explained to the borrower and an acknowledgement shall be obtained that he/she has understood the same.

6. The KFS shall also include a computation sheet of annual percentage rate (APR), and the amortisation schedule of the loan over the loan tenor. APR will include all charges which are levied by the RE. Illustrative examples of calculation of APR and disclosure of repayment schedule for a hypothetical loan are given in [Annex B](#) and [C](#) respectively.

Easily create a standard KFS template using the **Contract360 Template Engine.**

Note: We can provide a dedicated team to create a template on request.

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KFS by Signzy

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Key Facts Statement
Part 1 (Interest rate and fees/charges)

1	Loan proposal/ account No.	Type of Loan																																	
2	Sanctioned Loan amount (in Rupees)																																		
3	Disbursal schedule (i) Disbursement in stages or 100% upfront. (ii) If it is stage wise, mention the clause of loan agreement having relevant details																																		
4	Loan term (year/months/days)																																		
5	Instalment details Type of instalments Number of EPIs EPI (₹) Commencement of repayment, post sanction																																		
6	Interest rate (%) and type (fixed or floating or hybrid)																																		
7	Additional Information in case of Floating rate of interest <table border="1"><thead><tr><th>Reference Benchmark</th><th>Benchmark rate (%) (B)</th><th>Spread (%) (S)</th><th>Final rate (%) R = (B) + (S)</th><th>Reset periodicity² (Months)</th><th>Impact of change in the reference benchmark (for 25 bps change in 'R', change in³)</th></tr><tr><th></th><th></th><th></th><th></th><th>B S</th><th>EPI (₹) No. of EPIs</th></tr></thead><tbody><tr><td></td><td></td><td></td><td></td><td></td><td></td></tr></tbody></table>		Reference Benchmark	Benchmark rate (%) (B)	Spread (%) (S)	Final rate (%) R = (B) + (S)	Reset periodicity ² (Months)	Impact of change in the reference benchmark (for 25 bps change in 'R', change in ³)					B S	EPI (₹) No. of EPIs																					
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Key Facts Statement
Part 1 (Interest rate and fees/charges)

1	Loan proposal/ account No.	555890008690	Type of Loan	Home Loan																		
2	Sanctioned Loan amount (in Rupees)	1000000																				
3	Disbursal schedule (i) Disbursement in stages or 100% upfront. (ii) If it is stage wise, mention the clause of loan agreement having relevant details																					
4	Loan term (year/months/days)	Monthly																				
5	Instalment details Type of instalments Number of EPIs EPI (₹) Commencement of repayment, post sanction																					
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	Payable to the RE (A)	Payable to a third party through RE (B)																				
	One-time/Recurring	One-time/Recurring																				
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(i) Processing fees																						

#2 The KFS should be written in standard language for borrowers to understand.

4. REs shall provide a KFS to all prospective borrowers to help them take an informed view before executing the loan contract, as per the standardised format given in the [Annex A](#). The KFS shall be written in a language understood by such borrowers. Contents of KFS shall be explained to the borrower and an acknowledgement shall be obtained that he/she has understood the same.

Using Contract360

- Lenders can choose from **13+ local languages** to execute the contract journey including the signing journey text, button, and change consent text from 10+ vernacular languages using eMudhra ESP.
- Create a workflow for multiple languages for faster contract completion.



KFS_A by Signzy tech

भाषा चुनें

दस्तावेज़ जानकारी

कदम 2: आप दस्तावेज़ पर कैसे हस्ताक्षर करना चाहेंगे?

आगे बढ़ें।

☐



आधार ई-साइन ओ. टी. पी.
ई-हस्ताक्षर केवाईसी विधि द्वारा इसे आसान बनाएँ

☒



क्लिक रैप करें
अनुबंध का पूर्वावलोकन करें और दिए गए नियमों और शर्तों को स्वीकार करें

☒ मैंने Signzy Technologies से प्राप्त ईमेल में प्रदर्शित दस्तावेज़ को पढ़ा, समझा और स्वीकार किया है और मैं उसमें बताई गई शर्तों की अपनी स्वीकृति दर्ज करता हूँ।

☐



स्मार्ट ई-साइन
या तो अपने हस्ताक्षर करके या अपने नाम के आधार पर एक स्वचालित हस्ताक्षर करके हस्ताक्षर करें।

Choose from
13+ vernacular languages

Signers can **complete the journey**
in their preferred language



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g KYC method

☐



Clickwrap
Preview the contract and accept to the given terms and conditions

☐



Smart E-Sign
Sign by either drawing your signature or an autogenerated signature based on your name

English

हिन्दी

बांग्ला

मराठी

தமிழ்

తెలుగు

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অসমীয়া

#3 Lenders should help borrowers understand KFS before loan execution.

4. REs shall provide a KFS to all prospective borrowers to help them take an informed view before executing the loan contract, as per the standardised format given in the [Annex A](#). The KFS shall be written in a language understood by such borrowers. Contents of KFS shall be explained to the borrower and an acknowledgement shall be obtained that he/she has understood the same.

Using Contract360

Borrowers can **review KFS** and the entire loan agreement before e-signing, making sure the KFS explained and documented are the same.



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Annex A

Key Facts Statement

Part 1 (Interest rate and fees/charges)

1	Loan proposal/ account No.	1321332001	Type of Loan	Home Loan		
2	Sanctioned Loan amount (in Rupees)	10,00,000				
3	Disbursal schedule (i) Disbursement in stages or 100% upfront. (ii) If it is stage wise, mention the clause of loan agreement having relevant details	100% upfront				
4	Loan term (year/months/days)	12				
5	Instalment details					
	Type of instalments	Number of EPIs	EPI (₹)	Commencement of repayment, post sanction		
	Monthly	209	10,000	Net Banking		
6	Interest rate (%) and type (fixed or floating or hybrid)	8 and Fixed Loan				
7	Additional Information in case of Floating rate of interest					
Reference Benchmark	Benchmark rate (%) (B)	Spread (%) (S)	Final rate (%) $R = (B) + (S)$	Reset periodicity ² (Months)	Impact of change in the reference benchmark (for 25 bps change in 'R', change in: ³)	
				B	S	EPI (₹)
12-08-2025	9	8.7	9.8	10	9	10,00,000
8	Fee/ Charges ⁴					
		Payable to the RE (A)		Payable to a third party through RE (B)		
		One-time/Recurring	Amount (in ₹) or Percentage (%) as applicable ⁵	One-time/Recurring	Amount (in ₹) or Percentage (%) as applicable ⁵	
(i)	Processing fees	10,000	10,000	10,000	10,000	
(ii)	Insurance charges	10,000	10,000	10,000	10,000	
(iii)	Valuation fees	10,000	10,000	10,000	10,000	
(iv)	Any other (please specify)	10,000	10,000	10,000	10,000	

#4

9. The KFS shall also be included as a summary box to be exhibited as part of the loan agreement.

Merge KFS and loan agreement in a single contract for the borrower to review the contract before signing.

Page 1

Page 4

#5

Without the borrower's explicit consent, lenders cannot charge any fees not mentioned in KFS, ensuring fair practice.

7. Charges recovered from the borrowers by the REs on behalf of third-party service providers on actual basis, such as insurance charges, legal charges etc., shall also form part of the APR and shall be disclosed separately. In all cases wherever the RE is involved in recovering such charges, the receipts and related documents shall be provided to the borrower for each payment, within a reasonable time.

8. Any fees, charges, etc. which are not mentioned in the KFS, cannot be charged by the REs to the borrower at any stage during the term of the loan, without explicit consent of the borrower.

#6 The borrower should acknowledge the agreement.

4. REs shall provide a KFS to all prospective borrowers to help them take an informed view before executing the loan contract, as per the standardised format given in the [Annex A](#). The KFS shall be written in a language understood by such borrowers. Contents of KFS shall be explained to the borrower and an acknowledgement shall be obtained that he/she has understood the same.

Using Contract360

In digital KFS flow, borrowers can acknowledge contracts in multiple ways:

1. **Aadhaar eSign** (OTP, FaceAuth, Fingerprint, Iris)
2. **Smart eSign** (Draw signature, upload, select auto-generated signature)
3. **Clickwrap**

#7

Loans with tenure >7 days -> The KFS validity will be 3 working days.
Loans with tenure <7 days -> The KFS validity will be 1 working day.

5. Further, the KFS shall be provided with a unique proposal number and shall have a validity period of at least three working days for loans having tenor of seven days or more, and a validity period of one working day for loans having tenor of less than seven days.1

Explanation

Validity period refers to the period available to the borrower, after being provided the KFS by the RE, to agree to the terms of the loan. The RE shall be bound by the terms of the loan indicated in the KFS, if agreed to by the borrower during the validity period.

Contract Setting

Default Contract Expiry

3 days

Checklist

- ✔ KFS should be in a standardized format as per Annexure A, shared by RBI.
- ✔ The KFS shall be written in a local language understood by such borrowers.
- ✔ The KFS should be provided to the borrowers before executing the loan agreement.
- ✔ The KFS should be included as a summary in the loan agreement.
- ✔ You need to collect the borrower's acknowledgment on the KFS.
- ✔ To collect any charges not mentioned in the KFS, you must collect explicit consent from the borrower.
- ✔ The KFS should have a unique proposal number and should be valid for a certain number of days.

Glossary of terms

- (a) **Key Facts** of a loan agreement between an RE/a group of REs and a borrower are legally significant and deterministic facts that satisfy basic information required to assist the borrower in making an informed financial decision.
- (b) **Key Facts Statement (KFS)** is a statement of key facts of a loan agreement, in simple and easier-to-understand language, provided to the borrower in a standardized format.
- (c) **Annual Percentage Rate (APR)** is the annual cost of credit to the borrower which includes the interest rate and all other charges associated with the credit facility.
- (d) **Equated Periodic Instalment (EPI)** is an equated or fixed amount of repayments, consisting of both the principal and interest components, to be paid by a borrower towards repayment of a loan at periodic intervals for a fixed number of such intervals; and which result in complete amortization of the loan. EPIs at monthly intervals are called EMIs.
- Other words and expressions not defined above, but used in this circular, shall have the same meaning as assigned to them under the [Master Direction on Interest Rate on Advances \(2016\)](#) as updated from time to time or any other relevant regulation issued by the Reserve Bank.

Industry leaders trust Contract360



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